

TO OUR SHAREHOLDERS

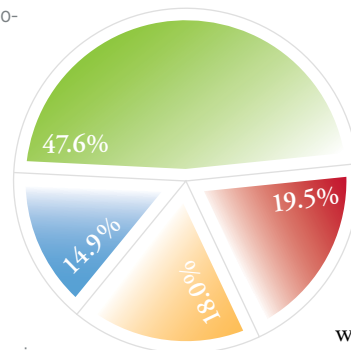
EXPANDING WITH EXCELLENCE

BELLAGIO underwent a significant expansion during 2004 resulting in the opening of the Spa Tower and several important new amenities at this AAA Five Diamond property. Bellagio remains Las Vegas' first and only hotel-casino to receive this prestigious recognition. These new additions add dimension and depth to the world-famous experience awaiting guests at Bellagio.

MGM GRAND LAS VEGAS completed a transformation, begun in 2003, of its food and beverage and entertainment offerings. MGM Grand is one of the must-see attractions of Las Vegas, with Cirque du Soleil's newest production, *KA*TM, and several of the Strip's finest restaurants and hottest nightspots.

TI's transformation was no less extensive, as the property's management team conceived and implemented a program to enliven the property with new restaurants and nightlife.

THE MIRAGE was the site of a revolution in Las Vegas' history as the venerable buffet was given new life as a top dining establishment, Cravings. Others may follow this lead, but The Mirage was the first property to breathe new life into what remained of the last bastion of "old" Las Vegas.



2004 Revenue Mix
 ■ Casino
 ■ Rooms
 ■ Food & Beverage
 ■ Entertainment, Retail, & Other

These investments in your company's future paid dividends even before the year was out. We established a new record for net revenues posting \$4.2 billion, a 10% increase over 2003.

Your company's resorts produced record EBITDA of \$1.46 billion, an increase of 23% over 2003, while operating income was \$951 million, an increase of 36%, with record results at Bellagio, MGM Grand Las Vegas and Beau Rivage.

Defining Momentum in the Community

I've spent 27 years in this profession and the incredible generosity of our employees never ceases to amaze me. Shortly after the merger with Mirage Resorts in 2000, we established the Voice Foundation. This allows employees to express themselves in the communities we serve by providing them a mechanism to raise monies for worthy causes. It's their money and they decide where it goes. Your company provides the marketing and administrative support.

In each year since we established the program, employees have given record amounts to support a



KA The most spectacular production ever, by a troupe renowned for its pageantry. Cirque du Soleil's *KA* debuted at a new theatre at MGM Grand in the fourth quarter of 2004.

What exactly is a defining moment? Try a multi-billion dollar project centered in the heart of Las Vegas.



SKYLOFTS MGM Grand
 A private sanctuary of sleek, elegant two-story accommodations, offering discerning guests the quintessential loft environment - harmonizing design, décor, ambiance and unparalleled vistas.



BELLAGIO SPA Unique design elements, combined with an international array of innovative treatments and specially trained therapists, provide the ultimate indulgent experience.



TEATRO MGM Grand A new genre of Las Vegas nightlife where European club influences permeate. DJs spin jazz/house throughout the evening, giving way to an energetic after-hours vibe with live catwalk entertainment.